CAPITAL MARKETS

JPMorgan's Third Avenue Exit: The $425 Million Consensus on Office Risk

A 29% valuation drop from 2020 reveals how capital is pricing vacancy, corridor bifurcation, and repositioning timelines.

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A source-grounded Light Tower Insight. The complete note follows.

JPMorgan Asset Management is trying again to sell its 49 percent stake in Fisher Brothers' 605 Third Avenue. The target valuation this time: $425 million. That is $175 million less than the $600 million the bank sought in 2020, when the building was 97 percent leased and the pandemic was still an open question.

The headline is a stake sale. The story is what $425 million says about office capital's current pricing of vacancy, repositioning risk, and corridor bifurcation.

Fisher Brothers just completed a $1.1 billion recapitalization of Park Avenue Plaza with Vornado. That deal traded at a basis that reflected a prime corridor with single-digit vacancy. Third Avenue is not Park Avenue. Colliers data shows Third Avenue vacancy at 20.3 percent, versus 6.5 percent on Park Avenue and 11.5 percent on Madison Avenue. The $425 million valuation on 605 Third Avenue is the market's way of saying that corridor risk is now priced into the basis, not assumed away.

The building is 84 percent leased. That is not distressed, but it is not stabilized either. The offering memo from Newmark projects income climbing 60 percent over five years as below-market leases roll. That projection is the entire thesis. A buyer is not underwriting current cash flow. It is underwriting the spread between today's rent and tomorrow's rent, and the cost of carrying 16 percent vacancy while waiting for it.

JPMorgan's first attempt to exit in 2020 failed because the market had no consensus on how office would trade. Six years later, the market has a consensus: it will trade, but only at a basis that compensates for time and uncertainty. The $425 million number is that consensus expressed in dollars per square foot.

Fisher Brothers is keeping its majority stake. That is a signal worth noting. The family firm is not exiting. It is buying out a partner who wants liquidity and bringing in a new capital partner who accepts the current basis and the repositioning timeline. The structure is a recapitalization, not a distress sale. The sponsor is choosing its capital partners, not surrendering control.

The new investor will inherit JPMorgan's position and Fisher Brothers as the operating partner. The offering memo promises a strategic repositioning to elevate the property into the top tier of the Grand Central competitive set. That language is standard. What matters is whether the new partner has the cost of capital and the patience to execute a five-year business plan in a corridor where leasing velocity is still recovering.

Nearby, SL Green is marketing 711 Third Avenue at a target price of $160 million for 600,000 square feet. That is roughly $267 per square foot. The implied basis at 605 Third Avenue, at $425 million on 1 million square feet, is $425 per square foot. The difference is not just location. It is the quality of the asset, the tenancy, and the sponsor's track record. Fisher Brothers has a credible operating history. That commands a premium, even in a corridor with 20 percent vacancy.

The capital market question is not whether this deal gets done. It is who shows up to buy. The buyer pool for a 49 percent stake in a repositioning play is narrower than the pool for a stabilized asset. It requires a partner who can underwrite a five-year business plan, accept that the corridor is not Park Avenue, and trust Fisher Brothers to execute. That is a specific kind of capital: patient, sponsor-dependent, and willing to accept basis risk in exchange for upside that is projected, not proven.

JPMorgan's exit is not a vote of no confidence in the asset. It is a portfolio decision. The bank's asset management arm has a different time horizon and liquidity need than a family office or a long-hold institutional investor. Selling now, at a lower valuation than 2020, is the cost of certainty. The bank gets liquidity. The new partner gets a basis that pencils if the leasing plan works.

The market should test whether this deal sets a comp for other Third Avenue repositionings. If it closes at $425 million, it establishes a floor for similar assets in the corridor. If it struggles to find a buyer, it suggests that even a credible sponsor and a discounted basis are not enough to attract capital into a corridor where vacancy is still in the twenties.

Office capital is not rewarding optimism. It is rewarding structure. The structure here is a majority sponsor with a track record, a minority partner with a five-year timeline, and a basis that prices the corridor's current reality. That is not a bet on a recovery. It is a bet on a specific execution plan. The market will find out soon enough whether that is enough.

SOURCES

— The Real Deal — https://therealdeal.com/new-york/2026/07/22/jpmorgan-to-sell-stake-in-fisher-brothers-605-third-avenue/

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